

Avalon Advanced Materials Inc.

AVLNF: Pursuing Dual-Track Strategy to Enable Domestic REE & Lithium Processing Self-Sufficiency

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KEY POINTS

- **We are initiating coverage of Avalon Advanced Materials Inc. (OTCQB: AVLNF)**, a micro-cap critical minerals developer with exposure to both rare earth elements (REEs) (Nechalacho) and lithium hydroxide (LiOH) processing (Lake Superior Lithium [LSLi] project). The company is transitioning from legacy exploration toward feasibility-stage development, with a 2013 Definitive Feasibility Study (DFS) on its REE asset (~US\$0.95B NPV) and a 2024 Preliminary Economic Assessment (PEA) on its lithium refinery (~US\$3.0B NPV). Avalon is positioned as a North American critical elements supply chain enabler, targeting both upstream critical minerals and midstream processing bottlenecks.
- **Deep value dislocation.** Avalon represents one of the most extreme valuation disconnects in the critical minerals space, trading at a fraction of peer multiples despite multi-billion-dollar combined project NPVs. Peers at similar or more advanced stages typically trade at 10–60% of NAV, suggesting upside potential as Avalon advances up the development curve. The primary driver of this discount is not asset quality but project maturity and study recency, particularly the outdated REE DFS.
- **Dual-asset strategy.** Avalon offers a differentiated investment profile through exposure to two high-growth, strategically critical markets: (1) heavy and light rare earth elements (REEs); and (2) LiOH refining. Nechalacho provides exposure to HREEs such as dysprosium and terbium, which are structurally supply constrained and critical to EV motors and defense applications. Meanwhile, the LSLi project targets the highest-margin segment of the lithium value chain—chemical conversion—where China currently dominates.
- **Government policy tailwind.** Avalon is well aligned with Canadian and US critical minerals strategies, which are increasingly directing capital toward domestic supply chains. Peer examples demonstrate that government backing can drive step-change valuation re-ratings, even before construction. Avalon has not yet secured such funding, but its projects fit squarely within policy priorities, including REE supply security and lithium processing localization.
- **Execution inflection point.** Recent hires across metallurgy, engineering, and project execution indicate Avalon is transitioning from a conceptual developer to a feasibility-stage operator preparing for construction. Additions such as project directors for both lithium and REE assets, along with metallurgical expertise tied to prior feasibility work, directly address historical execution gaps. This build-out is critical for advancing updated studies, permitting, and financing efforts.
- **Financing and execution remain critical gating factors.** The primary obstacle to valuation realization is Avalon's ability to secure multi-billion-dollar project financing relative to its micro-cap base. Both projects require substantial capital and delays in financing, feedstock agreements (lithium), or updated studies could prolong the company's "development-stage discount." Additionally, reliance on third-party lithium feedstock introduces structural risks to the refinery model. Until Avalon demonstrates a clear path to financing and construction, it may remain at low NAV multiples despite strong underlying assets.

KEY STATISTICS

Ticker:Exchange	AVLNF:OTCQB
Current Price	\$0.05
52-Week Range	\$0.01-\$0.14
Average Volume (30-Day)	576,452
Shares Outstanding (MM)	834.6
Market Cap (\$MM)	\$48.0
Fiscal Year-End	August

PRICE PERFORMANCE



COMPANY OVERVIEW

Avalon Advanced Materials Inc. (TSX: AVL; OTCQB: AVLNF) is a Canadian critical minerals company formed in 1991 and headquartered in Toronto, Ontario, focused on advancing a vertically integrated North American supply chain for rare earths and battery materials. Its flagship asset is the 100%-owned Nechalacho REE and Zirconium Project in the Northwest Territories, an advanced-stage deposit containing both light REEs (LREEs) and HREEs alongside zirconium, niobium, and tantalum. The project has been studied to feasibility level with a staged development approach and benefits from a geologically differentiated, vertically zoned system with meaningful exposure to higher-value heavy rare earths, compared with other REE deposits in production or development.

In parallel, Avalon is developing the LSLi project, a LiOH processing facility in Thunder Bay, Ontario, designed as a midstream hub connecting regional lithium resources to downstream EV battery markets. The project has completed a PEA outlining a 30,000-tpa battery-grade LiOH operation and is advancing through feasibility, supported by a brownfield site with existing infrastructure. The project's key differentiator versus existing lithium processing plants is the use of Metso's alkaline pressure leach technology, which eliminates acid roasting and reduces environmental impact, positioning the facility as a cleaner alternative to conventional lithium conversion processes, thus improving operating economics.

COMPANY DESCRIPTION

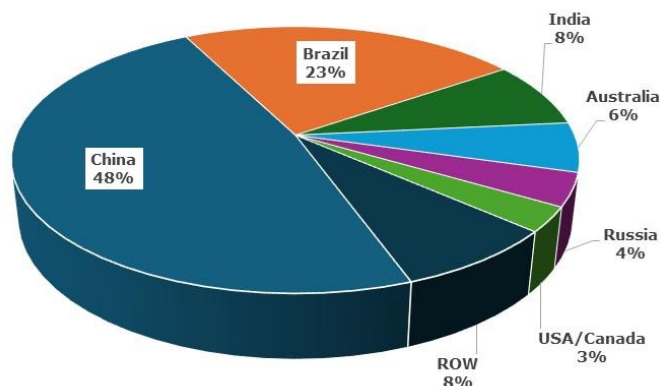
Avalon's flagship Nechalacho REE and Zirconium Project is located at Thor Lake in the Northwest Territories, Canada, ~100 km southeast of Yellowknife and represents one of the most advanced rare earth development assets in North America. The project encompasses a large mineralized intrusive complex with a vertically zoned rare earth system, hosting both near-surface light rare earth mineralization and deeper, higher-grade heavy rare earth enrichment. Nechalacho contains a broad suite of critical minerals, including neodymium, praseodymium, dysprosium, terbium, yttrium, zirconium, niobium, and tantalum, positioning it as a polymetallic critical minerals deposit rather than a single-commodity asset. Historically advanced to the definitive feasibility study level, the project contemplates a multi-stage development strategy incorporating underground mining, concentrator operations, and downstream hydrometallurgical processing, with updated economic studies currently underway to reflect modern cost structures and processing technologies. The scale and geological continuity of the deposit support a long-life operation, with prior studies outlining multi-decade production potential, reinforcing its status as a cornerstone asset within Canada's emerging critical minerals supply chain.

End markets for REEs, particularly magnet-grade materials such as neodymium-praseodymium (NdPr), dysprosium, and terbium, are experiencing structurally strong demand, driven by electrification trends, including EVs, wind turbines, defense systems, and advanced electronics. Supply, however, remains highly concentrated, with China dominating both upstream mining and downstream separation capacity, creating persistent geopolitical and supply chain vulnerabilities. In this context, Nechalacho's ability to produce both light and heavy rare earths within a stable North American jurisdiction carries significant strategic value, particularly as governments prioritize domestic and allied supply chains for critical minerals. The project aligns with broader policy initiatives aimed at reducing reliance on foreign sources, supporting defense readiness, and enabling the energy transition, while also offering potential exposure to tightening supply-demand fundamentals in high-value rare earth oxides (REOs).

Industry Overview

REEs comprise a group of 17 chemically similar metals, including the 15 lanthanides plus yttrium and scandium, typically subdivided into light rare earth elements (LREEs)—lanthanum, cerium, praseodymium, neodymium, promethium, and samarium—and HREEs—europium, gadolinium, terbium, dysprosium, holmium, erbium, thulium, ytterbium, lutetium, and yttrium. While REEs are relatively abundant in the Earth's crust, economically viable concentrations are uncommon and occur in specific deposit types, most notably carbonatites and alkaline intrusions (typically LREE-dominant), monazite-bearing placer systems, xenotime-rich deposits (more HREE-enriched), and ion-adsorption clays in southern China and Southeast Asia, which are the primary global source of heavy rare earths. Most hard rock deposits are dominated by light rare earths, with relatively limited heavy rare earth content, whereas meaningful HREE enrichment is rare and typically confined to specific geological settings or deeper zones within certain alkaline systems. Only a limited number of deposits globally contain both LREEs and HREEs in economically significant proportions.

Figure 1. REE Global Reserves by Geography (2024)



Source: Argus, Water Tower Research

Processing REEs involves a multi-stage and technically complex flowsheet, beginning with mining and beneficiation (typically flotation or gravity separation) to produce a mineral concentrate, followed by chemical “cracking” using either acid (e.g., sulfuric or hydrochloric acid roasting/leaching) or alkaline digestion depending on mineralogy. This is followed by solution purification and separation, most commonly through large-scale solvent extraction circuits designed to isolate individual REOs from mixed streams. Alternative or complementary flowsheets may incorporate ion-exchange, precipitation, or emerging technologies to improve selectivity and reduce environmental impact. The separated oxides are then converted into metals or alloys and further processed into downstream products, most notably permanent magnets (NdFeB), phosphors, catalysts, polishing powders, and specialty ceramics. End-market demand is heavily skewed toward high-performance magnet applications, particularly in the case of neodymium, praseodymium, dysprosium, and terbium, which are critical to electric vehicles (EVs), wind turbines, and advanced electronics, while other REEs such as cerium and lanthanum are primarily used in catalysts, glass production, and polishing applications.

Figure 2. REE Market by Application (2025) – By Volume (Left) and By Value (Right)



Source: Argus, Industry Reports, Water Tower Research

The REE market is small in tonnage relative to base metals, but it is extremely concentrated in value. Industry estimates suggest that total rare earth demand rose from 180K tons of REOs in 2020 to ~220K tons in 2025, a CAGR of 4%. Forecasts call for demand to rise to 255K tons in 2030, 295K tons in 2035, and 325K tons/year in 2040, or ~3% annual growth over the long term. Light rare earths still dominate by volume—cerium and lanthanum represented 50-55% of 2025 demand—but magnet rare earths (Nd, Pr, Dy, and Tb) are where the economics sit, as they represented 35-40% of 2025 volume, yet accounted for more than 95% of market value in 2025 and are projected to reach 99% of total REE market value by 2040. Demand growth is being driven above all by permanent magnets for EVs, wind turbines and industrial automation. Magnet demand alone is expected to increase at an 8.5% rate annually to 2030, with wind sector REE magnet demand increasing from 6.4K tons in 2024 to 23.6K tons in 2040.

Light vs. Heavy – A Tale of Value vs. Volume

As previously mentioned, the global rare earth market is relatively modest in aggregate tonnage on the order of 200-220K tons REO annually, but highly concentrated in value, with a clear bifurcation between abundant, low-value light rare earths and scarce, high-value magnet elements. Light rare earths such as lanthanum and cerium dominate supply by volume and are primarily produced from carbonatite-hosted deposits in China (notably Bayan Obo), as well as the US and Australia. These elements are used predominantly in fluid catalytic cracking (FCC) catalysts, glass polishing, and metallurgical additives, and are produced at scale by Chinese state-owned groups, with smaller contributions from Western producers. In contrast, NdPr—also primarily sourced from China, the US, and Australia—are the cornerstone of the REE market, serving as the critical inputs for NdFeB permanent magnets used in EVs, wind turbines, and industrial automation. These elements account for a disproportionate share of market value as previously stated despite representing a smaller share of total volume. Nechalacho contains meaningful concentrations of Nd and Pr alongside other REEs, positioning it for exposure to this high-growth segment.

Figure 3. REEs

Heavy Rare Earth Elements:

64 Gd Gadolinium	65 Tb Terbium	66 Dy Dysprosium	67 Ho Holmium	68 Er Erbium	69 Tm Thulium	70 Yb Ytterbium	71 Lu Lutetium	39 Y Yttrium
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Light Rare Earth Elements:

57 La Lanthanum	58 Ce Cerium	59 Pr Praseodymium	60 Nd Neodymium	62 Sm Samarium	63 Eu Europium	Hg	Tl	Pb	Bi	Po
						Cn	Nh	Fl	Mc	Lv

Source: Company Presentation

Heavy rare earths, including dysprosium and terbium, are significantly less abundant and are predominantly produced from ion-adsorption clay deposits in southern China and, increasingly, Myanmar, which supply feedstock into Chinese separation facilities. These elements are essential for high-temperature magnet performance, particularly in EV drivetrains and defense applications, and command substantially higher prices due to constrained supply and limited substitution. Other heavy rare earths such as yttrium, europium, gadolinium, and ytterbium—also present at Nechalacho—serve niche but critical applications in phosphors, lasers, medical imaging, and specialty alloys, with production still overwhelmingly controlled by Chinese refiners. Market growth is being driven by accelerating electrification trends, with magnet rare earth demand expected to grow at high-single-digit rates through 2030, significantly outpacing overall REE demand growth. Pricing dynamics reflect this structural divergence. While cerium and lanthanum remain oversupplied and low margin, NdPr pricing is driven by EV and wind deployment cycles, and heavy rare earths exhibit the greatest long-term pricing leverage due to geopolitical supply risks and limited new project development outside China and Southeast Asia.

China Chokepoint

Industry structure in rare earths is defined by extreme geographic concentration, with China maintaining dominant control across both upstream mining and, more critically, midstream separation and refining. While global mine production is estimated at 350-400K tons of REO annually, China accounts for 65-70% of mined supply and 85-90%, or more, of global separation capacity, effectively controlling the conversion of concentrates into usable oxides, metals, and magnet materials. Chinese production is anchored by large, integrated state-owned groups operating deposits such as Bayan Obo (Inner Mongolia) and extensive ion-adsorption clay operations in southern provinces, which are the primary global source of heavy rare earths. This midstream dominance represents the key bottleneck in the supply chain, as most non-Chinese producers still rely on Chinese facilities for final separation, particularly for heavy rare earths and magnet materials.

Outside China, the industry remains fragmented and significantly smaller in scale. The US (via Mountain Pass) and Australia (via Mt Weld) represent the only meaningful non-Chinese sources of light rare earth production, together accounting for 15–20% of global mined supply, though historically much of this material has been exported to China for processing. Downstream capabilities are gradually emerging, including separation and refining capacity in Malaysia, the US, and Europe, but remain limited relative to China's integrated ecosystem. Myanmar has become an important supplier of heavy rare earth feedstock through ionic clay deposits, though this material is largely processed in China. Other jurisdictions—including Canada—are advancing projects aimed at establishing vertically integrated supply chains, with deposits such as Nechalacho offering both light and heavy rare earth exposure in a politically stable jurisdiction. However, most of these projects remain in development stages and are not yet competitive in scale or cost with established Chinese operations.

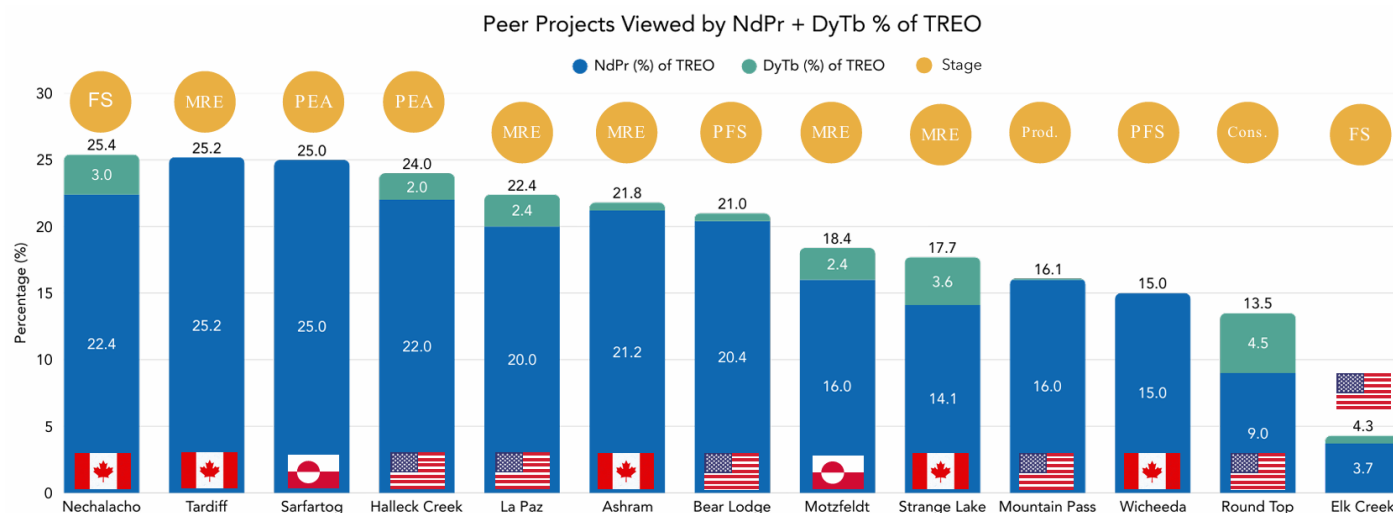
China's dominance has increasingly been leveraged in geopolitical contexts, underscoring supply chain vulnerabilities for Western economies. Over the past several years, China has implemented tighter export controls and regulatory oversight on critical minerals, including restrictions on rare earth processing technologies and heightened scrutiny of outbound flows of strategic materials. These measures build on a longer history of export quotas and informal supply constraints, reinforcing China's ability to influence global pricing and availability, particularly for heavy rare earths such as dysprosium and terbium. Recent policy actions—coupled with rising demand from EVs, wind energy, and defense applications—have accelerated efforts by the US, Canada, the EU, and allies to develop domestic or allied supply chains, invest in refining capacity, and support projects like Avalon's that can contribute to diversification. Nonetheless, the gap between Chinese and non-Chinese supply chains remains substantial, particularly in midstream processing and magnet manufacturing, which will likely persist as a defining feature of the industry over the medium term.

A Rare Resource in the Heart of North America

Avalon's flagship Nechalacho is located at Thor Lake in Canada's Northwest Territories, ~100 km southeast of Yellowknife, and represents one of the largest and most advanced rare earth development assets in North America. The property spans ~6,100 hectares and hosts a large alkaline intrusive complex with vertically zoned mineralization, where heavy rare earth enrichment increases with depth. The current technical basis remains the 2013 [DFS](#), which outlines 121.26M tons of **measured and indicated** resources grading 1.50% total REOs (TREO) and 0.25% heavy REOs (HREO), plus 183.37M tons **inferred** at 1.27% TREO contained in the basal (underground) zone and presupposes underground, rather than open pit mine. **Proven and probable** reserves of 14.61M tons grading 1.70% TREO and 0.45% HREO support a 20-year mine life based on throughput of 730K tons/year (or ~2K tons/day), with steady-state production achieved within six months and an after-tax NPV (using 8% discount rate) of ~C\$1.3 billion and IRR of 19.6%. Most notably, the deposit contains a full suite of REOs—including La, Ce, Pr, Nd, Sm (LREEs) and Eu, Gd, Tb, Dy, Ho, Er, Tm, Yb, Lu, and Y (HREEs)—as well as significant zirconium, niobium, and tantalum credits, reflecting a polymetallic system with multiple revenue streams.

On a headline basis, Nechalacho's 1.5–1.7% TREO grade is materially lower than major operating deposits such as Mt. Weld (8–12% TREO), Mountain Pass (7–8%), and Bayan Obo (3–6%), placing it below global leaders in terms of bulk ore grade. However, this comparison is not directly like-for-like, as those operations are carbonatite-hosted systems dominated by relatively low-value light rare earths (often >70–80% La and Ce), whereas Nechalacho is differentiated by a much higher proportion of heavy rare earths and magnet-critical elements. The Basal Zone exhibits materially elevated HREE distribution (with HREEs increasing from ~6% near surface to >30% at depth) and the feasibility study indicates that HREEs plus key magnet elements (Nd, Dy, Tb, Y) account for the majority of expected project revenue, with neodymium, europium, terbium, dysprosium, and yttrium alone contributing more than 80% of value. This is significant in a market where heavy rare earths and magnet materials dominate economics—NdPr, Dy and Tb collectively represent a minority of global REO volume but the overwhelming share of industry value. As a result, while Nechalacho is lower grade on a tonnage basis, it is higher value per unit of contained REO, with meaningful exposure to the most supply-constrained elements globally. Compared with many advanced-stage Western projects—which often lack meaningful HREE content—Nechalacho stands out as one of the few non-Chinese deposits with both scale and diversified rare earth distribution, positioning it as a strategically relevant asset despite its lower headline grade.

Figure 4. Nechalacho Project vs. Peers (as of December 2025)



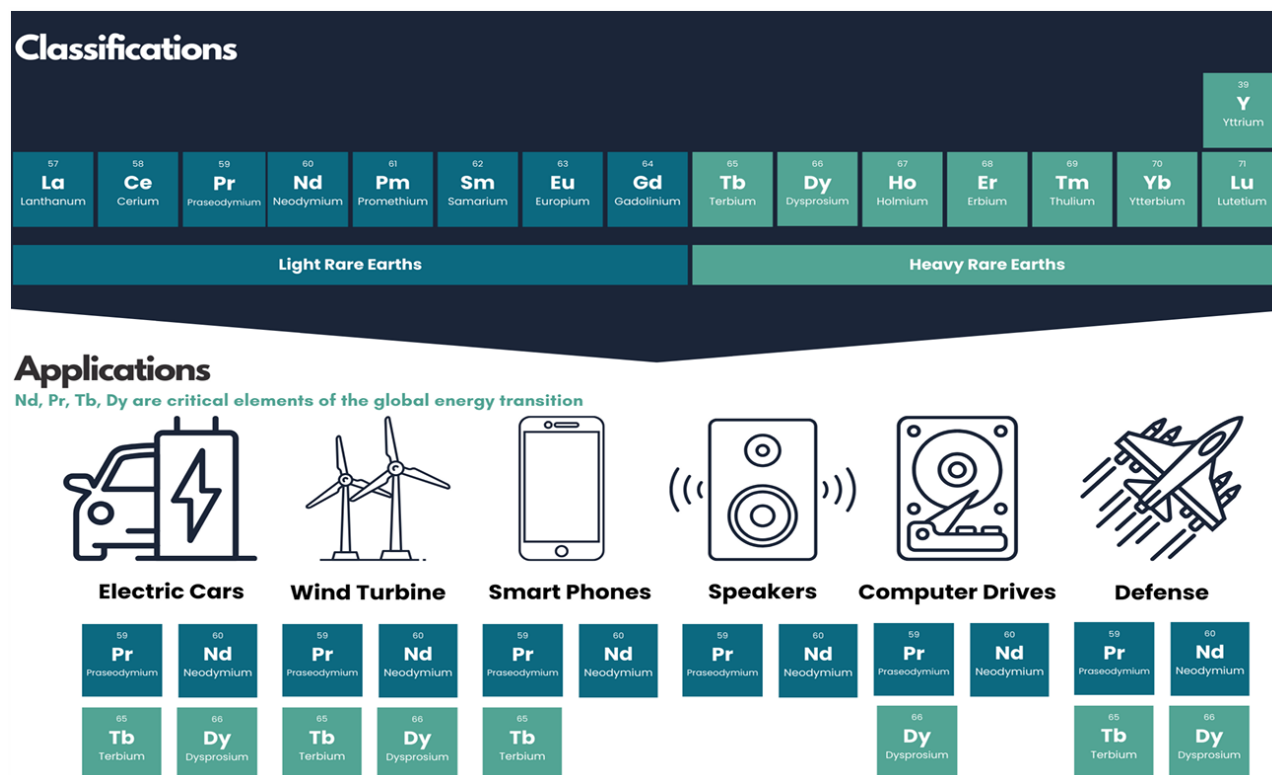
Source: Company Reports

Multi-Metal Optionality and Vertical Integration

What makes Nechalacho unusual versus many Western rare earth projects is that it is not simply an NdPr story. The reserve table includes the full light rare earth suite of La_2O_3 , CeO_3 , Pr_6O_{11} , Nd_2O_3 , and Sm_2O_3 , alongside the heavy rare earth suite of Eu_2O_3 , Gd_2O_3 , Tb_4O_7 , Dy_2O_3 , Ho_2O_3 , Er_2O_3 , Tm_2O_3 , Yb_2O_3 , Lu_2O_3 , and Y_2O_3 , plus zirconium, niobium, and tantalum credits. Mineralogically, LREEs occur principally in allanite, monazite, bastnaesite, and synchysite, while HREEs are associated with zircon, fergusonite, and rare xenotime. Zirconium, niobium, and tantalum are also tied to zircon and related rare-metal phases. Geological differentiation is important, as the proportion of HREEs in total rare earth content rises materially with depth, from ~6% near the top of the deposit to more than 30% at the bottom, which helps explain why the Basal Zone underpins the feasibility case. In the 2013 study, HREE revenues accounted for more than 50% of total project revenue, and neodymium, europium, terbium, dysprosium, and yttrium together accounted for more than 82% of separated REO revenue, while lanthanum and cerium contributed less than 4.5%. In practical terms, that means Nechalacho offers leverage not only to permanent magnets through Nd, Pr, Dy, and Tb, but also to phosphors, specialty ceramics, lasers, imaging, and high-performance alloy applications through Eu, Gd, Y, and the heavier oxides. The non-REE by-products matter as well. Zirconium is used in ceramics, foundry, and nuclear applications, while niobium is used in HSLA steels and superalloys and tantalum is used in capacitors and high-reliability electronics.

From an infrastructure and execution standpoint, Nechalacho remains a classic remote northern development story. There is no permanent road into the site and both the 2013 feasibility study and the 2025 AIF state access is via barge in summer, aircraft year-round, and ice roads on Great Slave Lake when conditions allow. The site also has an airstrip and a short road connection from the concentrator area to the planned dock. The 2013 feasibility study further contemplated upgrading the existing dock logistics, extending the airstrip, installing diesel power generation, and developing a 120-person accommodation complex, which implies a fly-in/fly-out or camp-based operating model rather than reliance on a permanent local on-site town. On the positive side, Yellowknife and Hay River are identified as key transportation hubs with meaningful mining services ecosystems and the study notes that the North Slave region already had a considerable number of residents working directly in mining or in mining supply and service businesses. Avalon also built the project around explicit Northern and Indigenous hiring, training, and procurement priorities, with HR plans initially targeting apprenticeship and technological occupations and a stated goal of maximizing Northern and Indigenous employment. Community engagement was not a box-ticking exercise in the old study. The feasibility work explicitly budgeted C\$2 million for community engagement; Avalon entered negotiation agreements with multiple First Nations and Métis groups and currently has an Accommodation Agreement with the Deninu K'ue First Nation and a Participation Agreement with the Northwest Territory Métis Nation (2014), which provide a framework for engagement and collaboration in respect of its operations in the Northwest Territories. Even so, the company itself identified limited site access and Indigenous negotiations as key schedule risks, so the labor question is best framed as manageable but dependent on execution of camp logistics, skills development, and continued social license.

Figure 5. Nechalacho Resource by Metal and Application



Source: Company Presentation

The original project scope was also unusually ambitious and vertically integrated by rare earth sector standards. Rather than stopping at concentrate, the feasibility study contemplated an underground mine, concentrator, and paste backfill plant at Nechalacho; a hydrometallurgical plant at Pine Point on the south side of Great Slave Lake; and a rare earth refinery at Geismar, Louisiana. Under that flowsheet, flotation concentrate from Nechalacho would be barged to Pine Point, where Avalon planned to produce a mixed rare earth precipitate and an enriched zirconium concentrate (EzC), with the EzC sold externally and the mixed precipitate sent by rail to Geismar for final separation by Avalon into individual REOs. The hydrometallurgical section was designed to recover ~80% of LREEs and ~50% of HREEs into solution, while the balance of rare earths plus most zirconium, niobium, and tantalum remained in the EzC stream. This matters strategically because very few development projects have advanced beyond concentrate into fully defined downstream separation infrastructure and that downstream optionality is often where value capture in rare earths materially improves. That said, the 2013 downstream configuration should not be treated as a current build plan. Avalon has now commenced a refreshed PEA intended to modernize the 2013 DFS with updated processing technology, engineering, and cost assumptions, and management has stated the company intends to proceed directly into a new DFS after that study. The March 2026 corporate presentation reinforces that sequencing, describing Nechalacho as having initiated a PEA “to be followed by feasibility study” but Avalon has not yet disclosed a current construction start, formal investment decision, or first production date for the refreshed project.

On commodity exposure, Nechalacho is geared to the most strategically attractive portions of the rare earth market. Lighter rare earths including Nd and, to a lesser extent, Pr appear to have sufficient supply through at least the end of the decade, according to several industry sources, but heavy rare earths, especially dysprosium, remain more constrained and are likely to rely on China and Myanmar/Laos feedstocks in the short to medium term. It is expected that Nd and Pr prices will rise at ~5% annually to 2040 versus 11% for dysprosium and 9% for terbium, reflecting structurally tighter heavy-magnet balances. That backdrop is directly relevant to Nechalacho because the project’s economics are disproportionately driven by HREEs plus magnet-critical oxides such as Nd, Dy, and Tb, along with yttrium and europium, rather than by low-value cerium and lanthanum. Nd and Pr remain the key inputs for NdFeB magnets used in EV traction motors, wind turbines, robotics, and industrial automation. Dy and Tb improve magnet performance at high temperatures, especially in automotive and defense applications. Eu, Gd, and Y are used across phosphors, lasers, optics, and specialty materials, while zirconium, niobium, and tantalum provide diversification into ceramics, alloys, and electronics. The strategic appeal is that Nechalacho offers a rare combination of jurisdictional

security, meaningful heavy rare earth exposure, and an unusually advanced historical level of technical work, but it still needs the refreshed PEA and subsequent DFS to translate that legacy value into a current, financeable development case. If Avalon executes that sequence on schedule, Nechalacho could re-emerge as one of the few North American rare earth projects with credible optionality from mining through downstream chemical processing rather than simply upstream concentrate production.

Updating Project Fundamentals

Avalon has recently re-initiated a structured, multi-stage effort to update the technical and economic foundation of Nechalacho, signaling a transition from legacy feasibility work toward a modern, financeable development plan aligned with current market conditions. Central to this effort is the commissioning of an updated PEA led by Wood Canada Limited, which is intended to refresh the project's 2013 feasibility study by incorporating advances in rare earth processing technologies, updated capital and operating cost assumptions, and evolving logistics and infrastructure considerations. The company has explicitly outlined a staged development pathway, with completion of the PEA expected within approximately six months of initiation, followed by a direct transition into a new DFS to support financing, offtake, and construction readiness. Supporting this technical refresh, Avalon has also engaged SCP Resource Finance as a strategic capital advisor to develop long-term financing and partnership strategies, while actively engaging with Canadian and US government stakeholders and potential industry partners to align the project with broader critical minerals policy objectives. This coordinated approach reflects a deliberate effort to position Nechalacho not just as a mining project, but as a cornerstone asset within emerging North American rare earth supply chains.

To execute on this strategy, Avalon has strengthened its technical and operational leadership with targeted hires that directly address key development risks across metallurgy, engineering, and project execution. The re-engagement of Dave Marsh—who led metallurgical development for the original 2013 DFS—provides critical continuity in process design and flowsheet optimization, with a mandate to adapt the project's metallurgical approach to current technological and geopolitical realities while working alongside Wood Engineering. In parallel, the appointment of Burl Joseph as Project Director marks a shift toward execution readiness, bringing expertise in delivering complex mining and infrastructure projects in remote northern environments, including permitting, Indigenous engagement, and full life-cycle project development. Joseph will be responsible for translating updated engineering outputs into actionable development decisions and will serve as the company's on-the-ground lead in the Northwest Territories, coordinating with local stakeholders and advancing project planning toward construction. Taken together, these appointments, alongside the engagement of engineering, financial, and advisory partners, indicate a clear progression toward an investment decision following completion of the updated DFS, with Avalon positioning Nechalacho for potential construction readiness in the medium term.

Permitting Process and Progress

Nechalacho operates within a co-managed federal–territorial regulatory regime under the Mackenzie Valley Resource Management Act (MVRMA), with the Mackenzie Valley Land and Water Board (MVLWB) responsible for land use permits and water licenses, and the Mackenzie Valley Environmental Impact Review Board (MVEIRB) overseeing environmental assessment. Unlike most Canadian mining projects, there is no provincial jurisdiction. Instead, permitting is shared between federal agencies and the Government of the Northwest Territories (GNWT), with additional requirements tied to Indigenous consultation and socio-economic agreements. The original 2013 feasibility process progressed through a full environmental assessment, including a Project Description Report (2010), Developer's Assessment Report (2011), technical review (2012), and public hearings (2013), establishing a well-defined regulatory pathway and baseline permitting framework.

Previously, Avalon had already secured a substantial portion of the early-stage and demonstration-scale approvals required at Nechalacho, significantly de-risking the project relative to typical greenfield developments. The company holds an active Class A Land Use Permit and a Water License, both of which were renewed in recent years to support early works and pilot-scale operations. These permits build on earlier exploration and site infrastructure approvals, including airstrip and quarry development authorizations, and provide a regulatory foundation for ongoing site activity. Avalon has also advanced compliance with environmental assessment measures, including submission of updated water monitoring programs, wildlife protection plans, and wildlife effects monitoring programs, indicating active engagement with regulators on operational safeguards. From a federal perspective, several historically identified risks appear to have been mitigated. Transport Canada has confirmed that project-related water bodies are non-navigable, eliminating the need for Navigable Waters approvals, while Fisheries Act requirements appear limited, with regulators indicating no clear trigger for authorization based on the then-current project design. Collectively, these factors support management's characterization of the regulatory pathway as “de-risked” at a high level, particularly for early-stage development.

Despite meaningful progress, several key permitting and regulatory items remain outstanding before full-scale construction can proceed. Most notably, Avalon has not yet finalized a Socio-Economic Agreement with the Government of the Northwest Territories, which, while not part of the environmental assessment process itself, is typically required as a condition of key regulatory approvals and is a prerequisite to advancing into construction. This agreement governs commitments related to local employment, training, procurement, and economic participation, and is typically a critical gating item in northern Canadian project development. In addition, while core permits are in place, they are tied to earlier-stage project configurations. As Avalon advances updated engineering through the current PEA and planned DFS, permit amendments or new applications may be required to reflect changes in mine design, processing configuration, infrastructure footprint, and production scale. This is particularly relevant given that the original 2013 development concept included downstream hydrometallurgical and refining facilities (e.g., Pine Point, Geismar), which may be modified or replaced under the updated project scope. As such, regulatory continuity exists, but full construction authorization for a modernized project is not yet fully locked in.

In summary, it would appear that Avalon's near-term permitting trajectory is closely tied to completion of its updated technical studies. The company has engaged Wood Canada to deliver an updated PEA, expected within approximately six months, implying completion around mid-2026. Following this, Avalon intends to proceed directly into a new DFS, which will define the final project configuration and form the basis for construction-stage permitting and financing decisions.

From a regulatory sequencing standpoint, key milestones are expected to include:

- Finalization of updated project design through PEA/DFS (2026–2027).
- Completion of the GNWT socio-economic agreement (timing dependent on project definition).
- Submission of any required permit amendments or new applications aligned with revised scope.
- Regulatory review and approval of updated licenses (historically ~8–12 months for water license processes, though timing may vary based on scope changes).

Overall, Nechalacho can be characterized as permitting-advanced but not fully construction-permitted, with a clear regulatory pathway established but several critical steps—particularly project definition and socio-economic agreements—remaining before a final investment decision and construction start can be realistically achieved.

Government Involvement and Support

Canadian and US policies have become materially more supportive of rare earth development, with governments now treating REEs as both an industrial policy priority and a national security input rather than simply another mining sub-sector. In Canada, REEs are one of the six priority minerals under the federal Canadian Critical Minerals Strategy, which is explicitly aimed at increasing responsibly sourced supply and building domestic and allied value chains from extraction through processing. The strategy is backed by multiple funding and policy tools, including the Critical Minerals Infrastructure Fund (CMIF) and the government's 2024 annual report reiterates that rare earths are a priority because of their role in defense, electronics, and wind power. Canada has already begun using those tools in the REE space. In December 2024, NRCan announced conditional CMIF support for Torngat Metals' Strange Lake rare earth project to help close infrastructure gaps and accelerate development, and in February 2024, NRCan-backed funding was announced for the Saskatchewan Research Council's rare earth processing facility as Canada moved toward commissioning what Saskatchewan described as North America's first vertically integrated rare earth processing facility. The policy direction is clear: Ottawa is trying to support not just mines, but also the enabling infrastructure and downstream separation capacity that historically kept Western projects dependent on China. For Canadian developers, that matters because it improves the odds of support for roads, power, transport, processing, and other non-mine bottlenecks that often determine whether an REE deposit is financeable.

The US is pursuing a parallel but somewhat more overtly security-focused model. The DOE announced a \$134-million Notice of Funding Opportunity in December 2025 to strengthen rare earth supply chains, specifically targeting commercial-scale recovery and refining of REEs from mine tailings, e-waste, and other unconventional feedstocks, and it tied the program directly to reducing dependence on foreign sources and strengthening national security. That initiative followed other DOE actions in 2024, including support for projects aimed at producing REEs and other critical minerals from coal, coal waste, and coal by-products, as well as FEED studies for facilities that could produce rare earths and other critical minerals domestically. Separately, EXIM has created a Supply Chain Resiliency Initiative designed to finance projects that secure critical minerals and rare earth supply from trusted partners outside the PRC and has described the program as a tool to reduce US reliance on China for these inputs. The White House has also elevated the issue through 2025 actions on processed critical minerals, describing rare earths and related derivative products such as permanent magnets as essential to the defense industrial base and broader economic resilience. Put differently, Washington is not only subsidizing technology and demonstration work, but also creating export

credit, trade policy, and national security frameworks that improve the strategic case for allied REE supply projects. For developers in Canada, including Avalon, that broadens the pool of potential counterparties beyond traditional mining finance to include government-linked funding channels, defense-adjacent industrial partners and US-aligned supply chain programs.

For Avalon specifically, the government support case today appears to be strategic and regulatory rather than direct fiscal. The company has repeatedly framed Nechalacho as aligned with Canadian and US supply chain priorities, and its recent project updates state that Avalon is actively engaging with Canadian and US government stakeholders and strategic partners while advancing an updated PEA and then a refreshed feasibility study. Avalon has also emphasized that Nechalacho already has key early-works permits in place and that the project sits within a broader policy environment that increasingly favors secure North American rare earth supply. The company's recent engagement of SCP Resource Finance as strategic capital advisor is explicitly intended to identify strategic investors, industrial partners, and other sources of aligned capital for Nechalacho, which suggests management sees government-backed or policy-enabled financing as a realistic part of the capital stack. Avalon is clearly a beneficiary of the policy tailwind, permitting progress and government engagement around allied rare earth supply, but it has not yet disclosed project-specific public funding on the order of what Torngat or SRC have announced. Nechalacho should therefore be viewed as well positioned to benefit from North American critical minerals policy, but not yet as a project with committed government capital in hand.

Making a Dent in Chinese Lithium Processing Dominance

Complementing its upstream rare earth portfolio, Avalon is developing the LSLi project, a proposed LiOH processing facility located in Thunder Bay, Ontario, designed as a midstream hub linking regional lithium resources to North American battery manufacturing markets. The project has completed a PEA outlining a 30,000-tpa battery-grade LiOH operation and robust economics and has since advanced into the feasibility study phase. The facility is situated on a brownfield industrial site with established infrastructure, including rail, port, and utilities, enabling accelerated development and reduced capital intensity. A key differentiator is the adoption of Metso's proprietary alkaline pressure leach technology, which eliminates acid roasting, reduces emissions and waste, and produces environmentally benign by-products, positioning the project as a lower-impact alternative to conventional lithium conversion processes. Through this integrated approach, Avalon aims to establish one of the first domestic lithium refining platforms in Canada, supporting the rapidly expanding EV and energy storage markets.

Avalon's lithium growth platform is the LSLi project, a proposed LiOH refinery on a brownfield industrial site in Thunder Bay, Ontario, ~13 km northeast of downtown Thunder Bay. The project is held through a 100%-owned subsidiary and sits on 377–380 acres, including ~154 acres on land and more than 220 acres covered by Lake Superior/shoreline lands, with an existing 24,000-sq.-ft. office building, 55,000-sq.-ft. warehouse, road and rail access, and a deep-water port. The well-developed Thunder Bay site materially lowers execution risk versus a greenfield refinery because it is already fully zoned, serviced industrial land with legacy infrastructure in place, which the company stated reduces both development cost and timeline. That point is reinforced by a 2024 AFRY site valuation commissioned by Avalon, which estimated replacement value of existing infrastructure at C\$46 million and land value at C\$11–16 million, for a combined C\$57–62 million site value. The project has already advanced through a September 2024 PEA and formally entered the feasibility study engineering phase in January 2026, which places it well beyond concept stage and into detailed engineering, baseline work, and commercial structuring. In Avalon's own positioning, LSLi is intended to be Ontario's first LiOH processing facility, serving as a regional midstream hub between northwestern Ontario pegmatite projects and downstream battery manufacturing in southern Ontario and the US Midwest.

Figure 6. Lake Superior Lithium Project



Source: Company Presentation

Compelling Economics

The 2024 PEA outlines a refinery designed to produce 30,000 tons per year of battery-grade LiOH monohydrate from 196,000 tpa of spodumene concentrate feed over a 30-year operating life. The study assumes long-term LiOH pricing of C\$35,360/t (~US\$25K/t versus current price of \$20K/t), spodumene feed pricing of C\$1,360/t (~US\$975/t versus current price of \$2,500/t) and generates an after-tax NPV (using an 8% discount rate) of **C\$4.1 billion**, after-tax IRR of 48%, payback of 2.5 years, initial capital cost of C\$1.2 billion, **total capital cost of C\$1.3 billion**, and all-in life-of-project operating cost of C\$13,029/t LiOH. The flowsheet is differentiated by Metso's alkaline pressure-leach technology, which eliminates conventional sulfuric-acid roasting and instead produces an analcime/calcium-carbonate by-product stream that Avalon believes can be sold into industrial and construction markets. In 2025, Avalon announced successful bench-scale production of both LiOH and analcime using the Metso process, with management highlighting potential for up to 60% lower water use, a smaller carbon footprint, and near-zero discharge relative to conventional acid-based conversion routes. The PEA's proposed schedule points to first LiOH production in 4Q28 and Avalon's January 2026 feasibility study launch framed the next 12–18 months around FS engineering, early basic engineering, geotechnical work, pilot testing, by-product qualification, and offtake discussions. Feedstock is expected to come from a combination of third-party offtake arrangements initially and neighboring northwestern Ontario mines over time giving the plant a flexible feed strategy rather than dependence on a single mine. Notably, while Separation Rapids had previously been considered as a potential source of refinery feedstock, Avalon's strategy evolved to favor spodumene over petalite given higher expected lithium yield, culminating in the April 2026 reorganization of the Separation Rapids JV.

The strategic rationale for LSLi is strongest when placed in the context of the global lithium market, where mining is geographically diverse, but processing remains highly concentrated in China. USGS estimates that global lithium production rose to ~240K tons in 2024, while consumption reached ~220K tons, but the market still experienced sharp price weakness as new supply outpaced expectations and EV sales softened earlier in that year. Spot Chinese LiOH prices reportedly fell from ~\$17,000/t in January 2024 to ~\$9,900/t in November 2024. At the same time, the IEA stated that lithium demand rose nearly 30% in 2024 and that the energy sector accounted for 85% of total demand growth across battery metals, underscoring how tightly lithium demand is tied to EVs, energy storage, and broader electrification. The more structural point is midstream concentration. According to the US EIA, Chinese companies accounted for more than two-thirds of the world's lithium processing capacity in 2022 and Australia—still

the world's largest hard-rock lithium producer—sent almost all of its exports to China, illustrating how ownership of refining rather than upstream rock supply determines pricing power and market access. More broadly, the IEA warns that refining concentration has intensified across critical minerals, with China the leading refiner for 19 of 20 strategic minerals and average refining share of ~70%. LSLi therefore fits a well-defined Western industrial policy objective: building North American lithium-chemical capacity in an allied jurisdiction, even if the continent remains dependent on global spodumene feed for some period. Avalon is effectively trying to insert itself into the highest-value bottleneck in the chain—chemical conversion—rather than competing as just another upstream explorer.

Permitting and Government Support

From an infrastructure and permitting standpoint, LSLi is advantaged, but it is not yet fully permitted. The site already benefits from rail, road, deep-water port access, existing utility corridors, municipal sewage and potable water connections, nearby 115 kV power lines, and access to natural gas for process heating, which is unusual for a Canadian battery materials site at this stage. Avalon also emphasizes Thunder Bay's skilled labor base and industrial heritage and has stated that the project is designed to create a significant number of jobs locally while also enabling broader development of regional lithium deposits. Permitting, however, remains a live workstream. According to the PEA, a preliminary environmental pathway and timeline have been identified, while the next-step list includes baseline studies, geotechnical work, consultation with First Nation groups, continued engagement with local communities and research institutions, and ongoing engagement with municipal, provincial, and federal governments. Ontario's regulatory environment has become more supportive. The province's new "One Project, One Process" framework is explicitly intended to shorten and coordinate critical mineral approvals and Avalon publicly endorsed the reform as providing "clarity and confidence" for the Thunder Bay refinery. Ontario has also launched a C\$500 million Critical Minerals Processing Fund, giving the province a direct financial tool to support domestic midstream projects, though Avalon has not disclosed an award under that program to date. Nevertheless, LSLi appears to be situated in a supportive jurisdiction with visible permitting momentum, though it remains in the engineering-and-permitting stage rather than the construction stage at this time.

Government support for lithium processing in Canada is becoming more tangible, and while Avalon has not yet disclosed project-specific grant or loan commitments, the policy backdrop is clearly moving in its favor. The federal Canadian Critical Minerals Strategy is explicitly designed to increase domestic supply and build downstream battery value chains and Canada's 2026 progress update stated the government has expanded incentives including the Clean Technology Manufacturing Investment Tax Credit. Avalon directly incorporated a 30% Clean Technology Manufacturing Industrial Tax Credit into the PEA economics, which materially improves the modeled capital intensity. The company has also said it is continuing project financing discussions with Canadian and US governments, alongside conventional debt and equity groups, as part of the work program coming out of the PEA. While that is not the same as committed public funding, precedent in Thunder Bay is encouraging. In March 2025 the Government of Canada announced support for Frontier Lithium's (OTC: LITOF) proposed conversion facility in the same city, showing that Ottawa is willing to back precisely this type of midstream project. At the provincial level, Ontario has repeatedly linked its battery supply chain agenda to projects like Avalon's and government releases in 2024 explicitly cited LSLi as the kind of project that Ontario wants to build faster. The implication for investors is that Avalon still needs to secure capital, but it is trying to do so at a time when both Ottawa and Queen's Park are actively building incentive structures for domestic lithium conversion.

Moving Aggressively to Update Feasibility Study and Economic Assumptions

Avalon has also been methodical in adding people and partners around LSLi as it moves from concept toward execution. On the engineering side, the company selected Nordmin Engineering as lead feasibility study consultant, with Primero Americas and Krech Ojard & Associates supporting processing plant and site infrastructure design, while Metso remains the core process technology partner after having progressed the project from 2023 MOU stage into broader engineering, testing, and commercialization support. In February 2026, Avalon engaged Rachel Bridge of Laira Consulting as interim support to coordinate with Nordmin and advance feasibility engineering, and in March 2026, it appointed Glen Smith, P.Eng. as Project Director, Refinery Feasibility & Construction in Thunder Bay. Smith brings more than 35 years of engineering experience across hydrometallurgy, petrochemicals, and nuclear. On the digital/operations side, Avalon signed an MOU with Qualcomm Technologies in November 2024 to develop IoT-enabled digital infrastructure and data management tools for the Thunder Bay facility, indicating that the company is thinking about operational readiness, automation, and traceability early in the development cycle. The broader ecosystem is also part of the plan. Avalon and Metso have proposed a Technology & Innovation Centre in Thunder Bay, potentially in collaboration with Lakehead University and Confederation College, that would support piloting, assaying, training, and recycling-related R&D. Taken together, the picture is of a project that is still pre-construction, but now has the ingredients of a credible developer play: a real site, credible partners, defined economics, a differentiated process, government policy tailwinds, and a growing owner's team focused on getting the refinery to a financeable feasibility endpoint.

FINANCIAL OVERVIEW

Avalon's FY25 results reflect a company in transition from early-stage development toward active project advancement, with a material step-up in corporate overhead and non-cash charges alongside relatively stable underlying cash burn. For the fiscal year ended August 2025, the company continued to fund both its LiOH and REE initiatives through a combination of equity and strategic financing, including support from Sibelco and other capital sources. The financial profile remains consistent with a pre-revenue developer. Operating losses are driven primarily by G&A, project development activity, and financing-related expenses, rather than revenue volatility. Importantly, Avalon has continued to fund land acquisition, feasibility work, and corporate overhead without entering into large-scale construction spending, which keeps absolute cash burn relatively contained at this stage. The company's strategy appears to prioritize preserving liquidity ahead of major engineering and permitting milestones, rather than accelerating spending prematurely. This positioning aligns with management's broader sequencing of updated PEA → DFS → financing → construction across both core assets. Overall, FY25 results reflect disciplined but rising cost structure, driven by advancing project maturity and corporate activity.

From an expense perspective, the key theme in FY25 was a shift in cost mix rather than a simple increase in total spending. While exploration and development-related expenditures remain core, there is clear evidence—both in Avalon's filings and analogous developer profiles at similar stages—of increasing G&A intensity, including legal, consulting, engineering coordination, and corporate personnel costs as projects move toward feasibility. This is consistent with Avalon's parallel ramp-up in technical work (lithium PEA, REE PEA refresh, feasibility engineering) and corporate initiatives such as strategic partnerships and financing discussions. On a relative basis, this mirrors broader sector dynamics where G&A and study-related costs expand meaningfully ahead of construction, even if direct field exploration costs stabilize or decline. The company's financing activities, including debentures and equity raises, also introduce interest expense and non-cash accounting impacts, further contributing to reported losses without necessarily increasing cash burn proportionally. In short, FY25 should be viewed as a year of cost reallocation toward engineering, permitting, and corporate execution readiness, rather than a simple escalation in operating intensity.

Turning to the 1QFY26 results, Avalon's financial position highlights a continued liquidity discipline. As of November 30, 2025, the company reported current assets of ~C\$16.0 million and current liabilities of ~C\$9.8 million. The balance sheet also shows that the company effectively eliminated its convertible note obligations during the quarter, concluding its prior funding arrangement through a combination of conversion to equity (~C\$1.16 million) and repayment (~C\$1.56 million), removing structural selling pressure overhang associated with its prior equity-linked financing facility. The company's balance sheet simplification was further reinforced by the April 2026 Separation Rapids JV reorganization, which eliminated the ~C\$7 million Sibelco debenture and, together with the prior retirement of its equity-linked facility, positions the Company as debt-free. This deleveraging is notable given the earlier reliance on secured debentures tied to the Thunder Bay property and suggests an effort to simplify the capital structure ahead of larger financing events.

On cash usage and burn, Avalon remains in a typical pre-development profile characterized by negative operating cash flow and minimal investing activity, with capital deployment focused on progressing economic studies, engineering, and permitting rather than construction. The company's financial statements and disclosures imply low-to mid-single-digit millions per quarter in net cash outflow, consistent with early-stage developers managing costs ahead of major capital commitments. The absence of significant capex in both FY25 and 1QFY26 reinforces that Avalon is still firmly in the engineering and pre-FID phase, with major capital deployment deferred until feasibility and financing are secured. This is further supported by management's sequencing of project milestones and reliance on staged financing rather than upfront capital raises. In effect, Avalon is maintaining a "bridge-to-FS" cash burn profile, conserving capital while advancing technical work.

Avalon completed a late 2025 financing totaling C\$18.65 million in gross proceeds (US\$11–12 million equivalent) through a combination of equity issuance, providing critical near-term liquidity as the company advances its project portfolio. The predominant use of proceeds is toward completion of updated technical studies, including the Nechalacho REE PEA/DFS refresh and advancing the 2024 PEA on LSLi to a feasibility study, as well as metallurgical test work, permitting activities, eliminating the company's prior equity-linked financing, and general corporate purposes. Of note, ~C\$4 million of the proceeds relate to flow-through financing (a Canadian tax-advantaged structure that requires proceeds to be spent on qualifying exploration activities) earmarked to be spent by the end of CY26 on drilling activities at Nechalacho. Importantly, the flow-through funding may also provide incremental strategic value, supporting drilling that can generate material for pilot-scale processing, enable engagement with potential processing partners, and drive ongoing drill results and validation-related news flow. Overall, this financing is intended to bridge Avalon through a key value-inflection period, enabling the company to deliver updated economic studies and advance project definition ahead of larger-scale capital requirements. While modest relative to the multi-billion-dollar capital needed for construction, the raise is sufficient to fund near-term catalysts that are expected to improve project credibility and support future strategic or government-backed financing discussions.

From a liquidity standpoint, Avalon's position remains modest but manageable relative to its stage of development. As of November 30, 2025, the company reported cash and cash equivalents of ~C\$16.0 million, providing a near-term operational runway but underscoring continued reliance on external funding to advance its projects beyond the current engineering and permitting phase. The company has historically supplemented liquidity through a combination of strategic partnerships (notably Sibelco), debenture financing, and equity issuance, and appears to maintain access to these channels as needed. The elimination of convertible notes during the quarter via conversion and repayment, along with the recent elimination of the company's only remaining debt instrument via the recent restructuring of its Separation Rapids JV, further reduces near-term financial obligations and simplifies the capital structure, improving flexibility ahead of future financing events. Overall, current cash levels appear sufficient to support ongoing corporate, technical, and permitting activities, but remain insufficient to fund construction, implying a material capital raise will be required at the feasibility or pre-construction stage.

Avalon's financial profile remains that of a capital-light, pre-development critical minerals company, with rising G&A and engineering-related costs reflecting project advancement, stable but negative operating cash flow, and a relatively lean liquidity position supported by ongoing access to external capital. The key inflection point for the financial model is likely to be the completion of updated PEAs and DFS work across both core assets, which will determine the scale, timing, and structure of the next major financing event. Until then, investors should expect continued moderate cash burn, incremental financing activity, and disciplined balance sheet management as the company advances toward construction readiness.

VALUATION

Given that Avalon is advancing two separate projects simultaneously—the development of the REE resource in Northern Territories and the proposed construction of a LiOH processing plant in Quebec—we are using two different peer groups in our comparative analysis and valuation framework.

REE Peer Analysis

Starting with Avalon's REE resource, we selected MP Materials, Arafura Rare Earths, Rare Element Resources, and NioCorp as the most relevant REE comparables for Nechalacho because they collectively capture the full spectrum of valuation drivers in the rare earth sector: operating scale and vertical integration (MP), financing-stage development with updated DFS (Arafura), re-rated micro- to small-cap developer with government backing (REEMF), and large US-based critical minerals developer (NioCorp). The inclusion of Rare Element Resources is particularly instructive, as it demonstrates how a small-cap REE developer can transition from micro-cap valuation to mid-cap status through policy support, updated technical validation, and strategic positioning within US supply chains. Across this peer set, valuation is driven less by absolute resource size and more by study recency, execution visibility, downstream integration, and geopolitical alignment, particularly with US and allied critical minerals strategies. Nechalacho, supported by a ~US\$0.95B NPV (2013 DFS) and meaningful HREE exposure, compares favorably on resource quality, especially relative to peers with more LREE-weighted deposits. However, Avalon continues to trade at ~1–2% of NPV versus ~0.6–0.8x for Arafura and now ~0.8–1.0x for REEMF, highlighting that the market is rewarding execution readiness and policy alignment rather than geology alone. The updated REEMF valuation, now in the ~\$400–500 million range, reinforces that Avalon's discount is driven by perceived execution risk and lack of updated technical and strategic validation, rather than a fundamental deficiency in asset quality. A more detailed look at peer companies versus Avalon, when it comes to the company's REE resource, is provided below.

MP Materials (NYSE: NP). MP represents the benchmark for REE valuation, trading at a multi-billion-dollar valuation supported by active production, revenue generation, and downstream magnet integration. In contrast, Avalon remains pre-construction, with no current production or cash flow despite a defined resource and historical DFS. While Nechalacho offers greater heavy rare earth exposure than MP's Mountain Pass resource, the market appears to have assigned minimal value to this advantage due to Avalon's lack of execution progress and downstream integration. MP's valuation premium reflects operational status, US policy alignment, and vertical integration, all of which Avalon is still working to establish. Importantly, MP's transition into magnet production captures value at the highest margin segment of the supply chain, whereas Avalon has yet to articulate a comparable downstream pathway. The valuation gap therefore reflects execution certainty rather than resource inferiority. Until Avalon advances to construction or secures strategic partnerships, it will not close the gap with operating peers like MP.

Arafura Rare Earths (OTC: ARAFF). Arafura is the most relevant like-for-like development-stage REE comp, with a completed DFS and a project moving toward financing and construction. Its Nolans project carries a similar NPV magnitude to Nechalacho (~\$1 billion), yet Arafura trades at ~60–80% of NPV versus Avalon's ~1–2%, highlighting the importance of study recency and financing readiness. Both companies target non-Chinese supply chains and have integrated processing concepts, but Arafura benefits from a modern DFS, active offtake discussions, and clearer capital pathway. Avalon's discount is therefore largely attributable to its outdated 2013 study and lack of near-term

construction visibility, rather than fundamental project economics. Arafura also has stronger investor recognition and institutional support, which further supports its valuation. The comparison suggests that Avalon's most realistic re-rating pathway begins with updating its economic studies to current standards.

Rare Element Resources (OTC: REEMF). Rare Element Resources illustrates how a small-cap REE developer can transition to a mid-cap valuation through a combination of technical progress and government support. Its Bear Lodge project is a high-grade (~3–4% TREO) bastnaesite-hosted deposit that has advanced through PFS-level work and into pilot-scale processing, but the key inflection point came through a series of US government-backed milestones rather than a single funding event. Beginning in late 2023, REEMF received DOE-related approvals, including completion of the NEPA process and authorization to proceed with construction of a rare earth processing and separation demonstration plant, effectively de-risking both permitting and the critical midstream flowsheet. This was followed in 2024 by continued DOE project advancement and operational approvals, reinforcing federal support for the project. The most significant financing signal came later, in March 2025, when the US Export-Import Bank issued a letter of interest for up to ~\$553 million in project financing, materially improving visibility on capital funding. Together, these steps—technical validation, permitting clearance, and financing support—drove REEMF's market cap to \$400–500 million, implying a valuation near ~0.8–1.0x NPV. By contrast, Nechalacho offers a larger resource base and superior heavy rare earth exposure but remains constrained by an outdated 2013 DFS and lack of comparable policy-backed momentum, resulting in a valuation of only ~1–2% of NPV. The comparison underscores that the market is rewarding execution readiness, recency of technical work, and visible government alignment.

NioCorp (NASDAQ: NB). NioCorp is best viewed as a strategic critical-minerals developer rather than a pure REE comp but remains highly relevant due to its similar stage and scale. Elk Creek's ~US\$2.8 billion NPV and 38-year mine life position it as a large, long-duration asset, and the company trades at ~0.4–0.6x NPV, well above Avalon's implied valuation. Both companies are pre-construction, but NioCorp benefits from a more recent feasibility study, US jurisdictional premium, and broader commodity exposure (Nb, Sc, Ti). Nechalacho may offer stronger direct REE exposure—particularly HREEs—but suffers from lower market visibility and less perceived financing momentum. The valuation gap is therefore driven by jurisdiction, investor awareness, and perceived readiness, rather than purely by project quality. NioCorp also benefits from positioning within US critical minerals policy, which continues to attract capital.

Figure 7: REE Comp and Peer Valuation

Company Name	Ticker	Resource	Stage of Development	NPV	Mkt Cap (\$M)	MC/NPV
MP Materials	MP	Mountain Pass – large-scale REE carbonatite	Operating + downstream	N/A	\$8,574	N/A
Arafura Rare Earths	ARAF	Nolans – ~56 Mt @ ~2.6% TREO (NdPr-focused)	DFS / financing	~\$1.0–1.2B	\$824	0.72x
Rare Element Resources	REEMF	Bear Lodge – ~18 Mt @ ~3–4% TREO (Bastnaesite)	PFS/updated flowsheet, pilot stage	~\$0.4–0.6B	\$497	0.99x
NioCorp Developments	NB	Elk Creek – Nb/Sc/Ti + REE (~38-year life)	DFS completed	~\$2.8B (pre-tax)	\$648	0.23x
Avalon Advanced Materials	AVLN	Nechalacho – 14.6 Mt @ 1.7% TREO (HREE-rich)	DFS (2013) → update	~\$0.95B	\$34	0.04x

Source: FactSet, Company Reports, Water Tower Research

Lithium Peer Analysis

For our lithium peer group and comp analysis, we selected Critical Metals (CRML), Frontier Lithium, and Jindalee Lithium as the most relevant comparables to Avalon's LSLi project. These companies represent three distinct but relevant archetypes: permitted Western developer (CRML), integrated regional producer (Frontier), and large-scale long-duration US resource (Jindalee). Avalon's lithium project stands out for its large PEA-derived NPV (~US\$3.0 billion) and midstream refinery focus, but trades at only ~1% of that value due to its early stage and implied reliance on third-party feedstock. Compared with peers, Avalon is differentiated by its focus on chemical conversion rather than mining, which introduces both strategic upside and execution risk. The peer group demonstrates that valuation is driven less by NPV magnitude and more by permitting status, feedstock control, and partner validation, not unlike what we have seen in REE peers, or similar critical metals and mineral resources in other industries, such as silica, boron, phosphate, uranium, etc. Avalon's discount reflects its position as a pre-FS, pre-financing processing project, rather than a fully integrated lithium producer.

Critical Metals (NASDAQ: CRML). CRML trades at a significant premium to Avalon despite having a smaller NPV, reflecting its fully permitted, DFS-stage Wolfsberg project and clearer pathway to construction. Avalon's lithium project is larger in modeled value (~\$3.0 billion NPV versus ~\$1.5 billion for CRML) but remains earlier stage and dependent on securing feedstock and financing. The market appears to be assigning CRML a premium for execution readiness and regulatory certainty, whereas Avalon is still in feasibility engineering. CRML also benefits from a strong European policy narrative, similar to how US projects are valued, once government involvement and support are made public. Avalon's discount reflects refinery risk, which is inherently higher than mine-based projects with secured ore supply. The comparison underscores that permitting and execution visibility outweighs raw project economics. Avalon will need to demonstrate feedstock contracts and financing alignment.

Frontier Lithium (OTC: LITOF). Frontier is Avalon's closest direct peer geographically and strategically, with both companies targeting the Ontario battery supply chain. Frontier trades at a materially higher valuation despite a much smaller NPV (~\$0.7 billion versus ~\$3.0 billion), primarily because it controls upstream lithium resources and has secured strong strategic partnerships. Avalon's refinery model depends on third-party feed, which introduces supply risk and lowers investor confidence. Frontier's Mitsubishi JV and Panasonic MOU provide validation that Avalon currently lacks. While Avalon benefits from lower infrastructure risk and a brownfield site, Frontier's vertically integrated model is easier for the market to underwrite. The valuation gap therefore reflects security of feedstock and partner validation, not project size.

Jindalee Lithium (OTC: JNDAF). Jindalee provides a useful benchmark for how the market values large, long-duration lithium projects at early stages, as it trades at ~1% of NPV despite a multi-billion-dollar project. In that sense, Avalon's valuation is not anomalous—it reflects a broader discount applied to pre-construction lithium chemical projects. Jindalee benefits from US jurisdiction and direct resource ownership, while Avalon benefits from better infrastructure and a more advanced processing concept. Both companies face significant capital requirements and execution challenges, which limit near-term valuation. The comparison highlights that early-stage lithium projects are uniformly discounted until financing and construction visibility improve. Avalon's valuation is therefore consistent with sector norms at this stage. The key differentiator will be which company advances first toward a bankable feasibility and funding package.

Figure 8: Lithium Comp and Peer Valuation

Company Name	Ticker	Resource	Stage of Development	NPV	Mkt Cap (\$M)	MC/NPV
Critical Metals Corp.	CRML	Wolfsberg – spodumene lithium	DFS completed, permitted	~\$1.5B	\$969	0.65x
Frontier Lithium	LITOF	PAK – hard rock lithium (~31-year life)	DFS (mine)	~\$0.7B	\$136	0.19x
Jindalee Lithium	JNDAF	McDermitt – 21.5 Mt LCE sedimentary lithium	PFS completed	~\$3.2B	\$33	0.01x
Avalon Advanced Materials	AVLNF	LiOH refinery – 30 ktpa production	PEA → FS underway	~\$3.0B	\$34	0.01x

Conclusion

Across both REE and lithium peer groups, the conclusion is consistent. Avalon's valuation is not constrained by asset quality, but by project maturity and execution visibility. The company trades at ~1% of combined NAV (~\$4 billion) versus 10–80% for more advanced peers, implying substantial upside if key milestones are achieved. The pathway to value creation is therefore clearly defined: (1) update economic studies (REE DFS refresh and lithium FS) to enhance credibility; (2) secure strategic partners, offtake agreements, and feedstock supply to validate commercial viability; and (3) advance permitting and financing toward construction readiness. Each step corresponds to a step-change in valuation multiples, from ~1% NAV today to potentially 10–25% at DFS stage and 30–60%+ at financing stage. Ultimately, Avalon's re-rating is contingent on transitioning from a "concept-stage" perception to a "financeable project" reality.

MANAGEMENT

Avalon has assembled a management team and board with a mix of capital markets, project development, metallurgy, and government relations expertise, aligned with its transition from a legacy exploration company to a developer of vertically integrated critical minerals assets. Recent hires—particularly across metallurgy and project execution—indicate a clear shift toward feasibility-stage engineering and construction readiness, while board composition reflects an emphasis on policy alignment, Indigenous engagement, and downstream industrial partnerships.

Scott Monteith — President & Chief Executive Officer; Director. Scott Monteith serves as President and CEO of Avalon and has ~30 years of experience commercializing industrial and clean technologies. His background spans biofuel refining, petrochemical decarbonization, water treatment manufacturing, and strategic partnerships, providing him with direct experience in scaling capital-intensive industrial projects. This is particularly relevant to Avalon's current strategy, which focuses not only on mining but also on midstream processing (LiOH refinery) and downstream integration. His experience in government affairs and alliance building is also critical given Avalon's reliance on policy support and strategic partners to advance both Nechalacho and LSLi. His role is to reposition Avalon from a junior mining company into a critical minerals supply chain participant, bridging technical development with capital markets and policy alignment.

Lorin Crenshaw — Chief Financial Officer. Lorin Crenshaw brings nearly 30 years of capital markets and financial leadership experience, including senior roles at Albemarle, where he served as CFO of its global lithium business. His background in lithium specifically is highly relevant as Avalon advances its LSLi refinery, providing direct insight into lithium pricing, capital structuring, and downstream chemical markets. His experience in investor relations and treasury also positions him to lead Avalon's future financing efforts, which will require substantial capital for both REE and lithium projects. His appointment signals a shift toward institutional-grade financial management as the company moves closer to feasibility and project financing.

Glen Smith, P.Eng. — Project Director, Lake Superior Lithium (LSLi). Glen Smith was appointed in 2026 to lead feasibility and construction planning for Avalon's LiOH refinery. With more than 35 years of experience in hydrometallurgy, petrochemicals, and nuclear industries, he brings deep expertise in process plant design, commissioning, and operations, which is directly applicable to LSLi's refining-focused business model. His background at companies such as Sheritt and Dynatec aligns closely with Avalon's need to execute a complex chemical processing facility, rather than a conventional mine. His role is critical in translating the PEA into a bankable feasibility study and ultimately a buildable project, reducing technical and execution risk.

Dave Marsh — Metallurgical Lead, Nechalacho REE Project. Dave Marsh rejoined Avalon in 2026 to support metallurgical development for Nechalacho, having previously led process development for the original 2013 DFS. With more than 30 years of experience in metallurgy across rare earths and other complex mineral systems, he brings critical expertise in flowsheet optimization, pilot plant development, and feasibility-level engineering. His historical involvement provides continuity between Avalon's legacy technical work and current updates, which is essential for validating and modernizing the project's metallurgical assumptions. His role is central to updating the DFS and improving confidence in recoveries and processing economics, which are key valuation drivers.

Burl Joseph — Project Director, Nechalacho REE Project. Burl Joseph was appointed in 2026 to lead development of Nechalacho through feasibility and execution. With more than 15 years of experience in northern mining projects, including environmental management, permitting, and Indigenous engagement, he brings the operational expertise required to advance a project in a remote, infrastructure-constrained jurisdiction. His role focuses on translating engineering outputs into practical development decisions, including site design, logistics, and stakeholder engagement. Given the importance of social license and regulatory approvals in the Northwest Territories, his background is highly relevant to mitigating key execution risks.

Vienna Psihos — Director, Public Affairs & Government Relations. Vienna Psihos leads Avalon's government relations and policy strategy, with prior experience at Ontario's Treasury Board Secretariat and Sussex Strategy Group. Her background in shaping provincial budgets and working across infrastructure and resource sectors is directly relevant to Avalon's need to secure government support, funding, and regulatory approvals. She plays a critical role in aligning Avalon's projects with Canadian critical minerals policy frameworks, which are increasingly important for project financing and strategic positioning.

Crystal Yi Gordon — Director, Accounting & Financial Reporting. Crystal Yi Gordon oversees Avalon's financial reporting, treasury, and internal controls, with more than 20 years of experience in mining and industrial companies including IAMGOLD. Her background ensures compliance with public company reporting standards while supporting financial planning and capital allocation as Avalon advances toward larger-scale project spending. Her role is particularly important as the company transitions from exploration-stage accounting to development-stage financial management.

Flavio Hees — Director (Sibelco). Flavio Hees is Vice-President of Geology and Mining at Sibelco and provides direct industry operating expertise. His experience overseeing more than 130 mines globally brings practical insight into resource development, operational strategy, and industrial minerals markets. His presence on the board reflects Avalon's strategic relationship with Sibelco and supports integration of mining and processing capabilities.

Avalon's management and board composition reflects a company transitioning from exploration to project execution and industrial development. The addition of technical and project leadership (Smith, Marsh, Joseph) directly addresses execution risk, while financial and policy expertise (Crenshaw, Psihos) supports capital raising and government alignment. At the board level, the mix of capital markets, ESG, Indigenous leadership, and industrial expertise positions Avalon to address the key challenges ahead: financing, permitting, and construction. Overall, the team appears appropriately structured for the next phase of development, though ultimate success will depend on converting this expertise into tangible project milestones and funding outcomes.

RISKS

Avalon's investment case is characterized by high upside potential coupled with elevated execution and financing risk, typical of pre-construction critical minerals developers. The key risks are not geological but rather technical validation, funding, and commercialization, all of which must be addressed before the company unlocks its implied NAV. The key risks are summarized below, although others may exist and investors should consider carefully before investing.

Execution risk – transition from study stage to construction. Avalon remains a pre-construction developer, with both its REE and lithium assets still advancing through updated PEA/DFS and feasibility work. The company must successfully convert technical studies into executable engineering, secure EPC/EPCM pathways, and manage complex project buildouts, particularly for the lithium refinery. Failure to demonstrate clear execution progress could continue to suppress valuation despite strong underlying project economics.

Financing risk – significant capital requirements relative to market cap. Both Nechalacho and LSLi are capital-intensive projects, with combined capital requirements likely exceeding \$2–3 billion, compared with Avalon's current sub-\$100 million market capitalization. This creates substantial reliance on external financing, including potential equity dilution, strategic partnerships, or government support. Any inability to secure financing on acceptable terms could delay or impair project development.

Study recency and technical validation risk – outdated REE DFS. Nechalacho is still based on a 2013 feasibility study, which the market heavily discounts due to outdated cost assumptions, processing technologies, and market conditions. Until Avalon completes updated technical work and demonstrates modern economic viability, investor confidence in project economics may remain limited. This gap is a key factor behind the company's current valuation discount relative to peers.

Feedstock and commercial risk – lithium refinery model. The LSLi project is a processing-only asset that depends on securing third-party spodumene feedstock rather than owning a primary lithium resource. This introduces supply risk, potential margin compression, and reliance on long-term offtake agreements with upstream producers. Without firm feedstock contracts, the refinery's economics and bankability remain uncertain.

Permitting and Indigenous engagement risk – northern project development. Although Nechalacho is considered permitting-advanced, key requirements remain outstanding, including socio-economic agreements with the Government of the Northwest Territories and continued Indigenous engagement. Delays in negotiations, permitting amendments, or regulatory approvals could materially affect timelines. Given the project's remote location, maintaining social license is critical to advancing toward construction.

Strategic and policy dependence risk – reliance on government support. Avalon's development strategy is partially predicated on alignment with Canadian and US critical minerals policies, including potential access to funding, tax credits, and strategic partnerships. However, unlike some peers, Avalon has not yet secured large-scale government funding commitments. Changes in policy priorities or failure to obtain support could limit access to capital and slow project advancement.

Our Insights

Opportunities

Updated DFS as a catalyst for valuation normalization. Avalon's most immediate and underappreciated catalyst is the completion of updated economic studies for both Nechalacho and LSLi, which could materially re-rate the stock independent of construction progress. The market is currently valuing Avalon at ~1–2% of NAV largely due to reliance on a 2013 REE DFS and early-stage lithium PEA, creating a credibility gap versus peers. Completion of a modern DFS incorporating updated cost assumptions, improved metallurgy, and current pricing could reposition Avalon alongside peers trading at 10–30% of NAV. This "study-driven re-rating" dynamic has been clearly demonstrated by peers such as REEMF and Arafura and remains one of the most visible near-term catalysts.

Potential for non-dilutive funding. Avalon is strongly positioned to benefit from expanding Canadian and US critical minerals policy frameworks, particularly given its exposure to both rare earths and lithium midstream processing. While the company has not yet secured major funding, precedent transactions (e.g., DOE, EXIM, and Canadian CMIF support for peers) suggest that non-dilutive or low-cost capital could become available as projects advance. A successful government-backed funding package or strategic partnership would not only de-risk financing but also signal institutional validation.

Leveraged exposure to processing bottleneck. The LSLi project offers leveraged exposure to the highest-value segment of the lithium supply chain—chemical conversion—rather than upstream mining, where margins are increasingly compressed. With global lithium refining still dominated by China (~70%+ share), Avalon’s proposed 30-ktpa LiOH facility is strategically positioned within the emerging North American battery corridor. The project’s C\$4.1 billion NPV and 48% IRR highlight its economic potential, yet the market assigns minimal value due to feedstock concerns and early-stage status. If Avalon secures long-term feedstock agreements or strategic customers, the project could be re-rated toward peer multiples.

Heavy rare earth scarcity value not reflected in valuation. Nechalacho’s disproportionate HREE content, including dysprosium, terbium, and yttrium, represents a strategically important but underappreciated asset characteristic. Unlike most Western deposits dominated by low-value LREEs, Nechalacho offers exposure to structurally supply-constrained elements critical for EV motors, defense applications, and high-performance magnets. As global supply chains increasingly prioritize HREE security, particularly outside China and Myanmar, Avalon’s asset could command a premium valuation relative to LREE-focused peers.

Obstacles

Financing risk beyond simple dilution. Avalon’s risk is not just dilution, but the potential inability to secure full project financing at all given the scale mismatch between its ~C\$40–50 million market cap and multi-billion-dollar capital requirements. Even if capital is available, it may come in the form of highly dilutive equity, project-level concessions, or strategic control given to partners. The market may be underestimating how challenging it is to finance midstream chemical assets without secured feedstock and offtake, particularly in a volatile commodity environment. Failure to structure a credible financing package could stall both projects.

Lithium feedstock dependency. The LSLi project’s reliance on third-party spodumene feedstock introduces a fundamental structural risk that is not fully reflected in valuation. Unlike integrated peers that control upstream resources, Avalon must compete for supply in a tightening North American lithium ecosystem where miners may prefer to vertically integrate or prioritize larger, established processors. This creates exposure to margin compression, supply interruptions, or inability to secure long-term contracts, all of which could undermine the project’s economics and bankability. If feedstock agreements are not secured, the lithium project’s valuation could be materially impaired despite strong headline NPV.

Prolonged “development trap”. Avalon faces a meaningful risk of remaining in a prolonged development-stage limbo, where projects are continuously advanced but never reach construction due to incremental delays. Updated studies, permitting amendments, financing negotiations, and partnership discussions all introduce potential for timeline slippage. This risk is particularly acute given the company’s history with an older DFS and the complexity of advancing two large projects simultaneously. Investors may be underestimating how quickly market interest can fade if Avalon fails to deliver clear, time-bound milestones.

ABOUT THE ANALYST



Dmitry Silversteyn

Managing Director – Chemicals & Materials Technology

Prior to joining Water Tower Research, Dmitry Silversteyn built a strong sell-side franchise on Wall Street as an equity research analyst focusing on the specialty chemicals and materials industries.

Over his 20-plus-year career, Dmitry was the senior analyst at Buckingham Research, Longbow Research, where he was a founding member, and FTN Securities. Dmitry began his career in finance at Lehman Brothers, Salomon Smith Barney, and First Analysis where he was also involved in investment banking and venture capital activities. Dmitry has received several industry recognitions including being ranked "#2" stock picker in chemicals by Reuters and StarMine and "#2" stock analyst in chemicals by the Wall Street Journal Best on the Street survey.

Earlier in his career, Dmitry was a process and project engineer and manager at firms in the water treatment, battery manufacture and fluid handling industries and was an early user of six-sigma programs.

Dmitry holds a BS in Chemical Engineering from Illinois Institute of Technology and an MS in Finance from the ITT Stuart School of Business.

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